25901211 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Core Course (DSC) - MG4DSCECO200 - MACROECONOMICS - I

(2024 ADMISSION ONWARDS)

Duration: 2 hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. The classical dichotomy refers to the separation between: [U] / [CO1]

   a). Consumption and investment b). Savings and investment

   c). Real and monetary variables d). Demand and supply

2. When aggregate demand is sufficient, firms will [A] / [CO1]

   a). Shut down b). Reduce investment

   c). Lay off employees d). Increase production

3. What is the role of govrnment in a classical economic system? [U] / [CO1]

   a). Active intervention to manage demand b). Controlling all production

   c). Laissez-faire d). Fixing prices and wages

4. The investment multiplier was originally developed by: [K] / [CO2]

   a). J.M Keynes b). R.F Kahn

c). A.C Pigou d). J.R Hicks

5. The equilibrium condition in a Four-Sector Keynesian Model is: [U] / [CO2]

a). $Y = C + I + G$ b). $Y = C + I + G + (X-M)$

c). $Y = C + I + G + X$ d). $Y = I + G + X$

6. Public investment is investment made by [U] / [CO3]

a). Business firms b). House holds

c). Government d). None of the above

7. Employment of funds to make income is known as [U] / [CO3]

a). Investment b). Speculation

c). Depreciation d). None of the above

8. The idea of Active Government Intervention was strongly supported by: [U] / [CO4]

a). Adam Smith b). J B Say

c). JM Keynes d). David Ricardo

9. The original Phillips curve was based on empirical data from: [K] / [CO4]

a). The United States b). The United Kingdom

c). Germany d). Japan

10. The purchasing power of money varies [U] / [CO4]

a). Directly with the volume of employment b). Inversely with the price level

c). Directly eith the interest rate d). Directly with the price level

[1x10 = 10]

Part B

Short Answer Questions

Answer any **10** questions

Each question carries **3** marks

11. Discuss the mechanism through which the interest rate ensures that any leakage from the income stream (savings) is returned as investment. [An] / [CO1]

12. Explain the role of aggregate demand in determining employment according to Keynes. [A] / [CO2]

13. How does Fisher explain the relationship between money supply and price level? [A] / [CO1]

14. Identify the main postulates of Classical theory of Prices. [K] / [CO1]

15. Define the concept of effective demand in Keynesian economics. [U] / [CO2]

16. Why do classical economists oppose fiscal and monetary policy intervention? [E] / [CO1]

17. What is meant by Permanent Income? [K] / [CO3]

18. Examine the factors that dampens accelerator [U] / [CO3]

19. How does stagflation differ from regular inflation? [U] / [CO4]

20. Compare Ricardian Equivalence with the Keynesian view on fiscal multipliers. [E] / [CO2]

21. Define the term 'k' in the Cambridge approach. [U] / [CO1]

22. Define marginal propensity to consume (MPC). Why is it significant? [An] / [CO2]

23. Distinguish between open inflation and suppressed inflation. [U] / [CO4]

[3x10 = 30]

Part C

Short Essay Questions

Answer any **5** questions

Each question carries **6** marks

24. What mechanism restores equilibrium if the supply of labor exceeds the demand? [E] / [CO1]

25. Explain the role of wage and price flexibility in the classical macroeconomic model. Why is it essential for achieving full employment equilibrium? [An] / [CO1]

26. Evaluate the effectiveness of Keynesian Fiscal policy as a response to severe economic crisis [K] / [CO4]

27. Government intervention makes the Keynesian model more realistic - Examine this statement with reference to the three-sector model. [E] / [CO2]

28. Explain the MEC Schedule and why it slope downward. [U] / [CO2]

29. Evaluate the difference between Short run and Long run consumption function with the help of diagrams. [E] / [CO3]

30. Examine the role of Fiscal policy during inflation. [K] / [CO4]

[6x5 = 30]